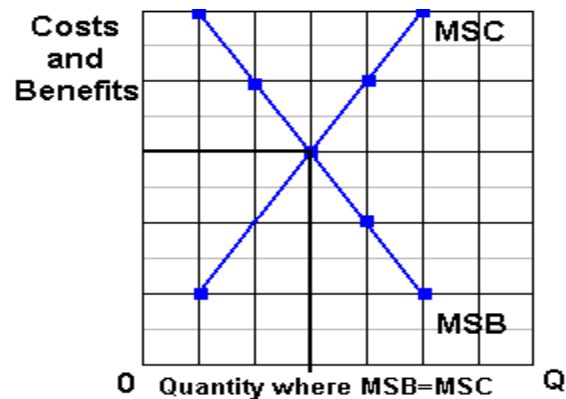


1-D:

Neither do marginal social benefits have to be at maximum nor is it required that marginal social costs should be at their minimum for the achievement of economic efficiency.

However, Marginal social costs should be equal to marginal social benefits for allocative efficiency to be achieved.



2-D:

A – Merit good for example: healthcare and education are “private goods”, which may not always be free at the point of use. Example is: **private healthcare**.

B - The marginal cost of producing a good is not a defining characteristic of whether it is a merit good or not.

C - The term "non-competitive in use" typically refers to goods or resources that are not used concurrently by multiple users. However, merit goods, like any other goods, can be used by multiple individuals simultaneously.

D - The consumption of merit goods has positive effects on society beyond the private benefits enjoyed by the consumer, **this means that the social benefits are greater than private benefits, because of existence of “positive externalities”**. For example, education is often considered a merit good because an educated individual not only gains personal benefits but also contributes to a more educated and productive society.

This is why, key D, becomes correct

3-C:

C – Since, social benefit is the sum of private benefit and external benefits, it is correct to say that **social benefit minus external benefit equals “private benefit”**

As a result of which, only C , can be said correct.

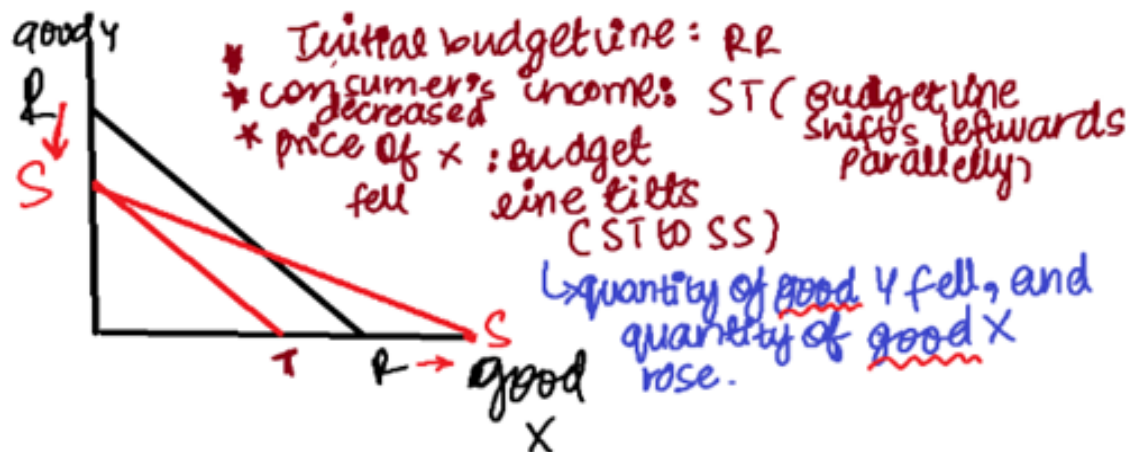
4-B:

The equi-marginal principle states that consumers will choose a combination of goods to maximise their total utility. This will occur where

$$\frac{\text{Marginal Utility of A}}{\text{Price of A}} = \frac{\text{Marginal utility of B}}{\text{Price of B}}$$

5-A:

A – The diagram below explains why, key A, will be correct.



B - A decrease in income would result in a fall in qty demanded for both : good Y and good X. And, a simultaneous rise in the price of X would result in a fall in qty demanded of X further. The net effect of this will be a fall in the price of both the goods.

C – An increase in income would result in a rise in qty demanded for both : good Y and good X. And, a fall in the price of good X would further lead to a rise in the qty demanded of good X. The net effect would be a rise in the qty demanded of both the goods.

D - An increase in income would result in a rise in qty demanded for both : good Y and good X. But, a rise in the price of X would lead to a contraction in qty demanded of X.

The net effect will be a rise in the qty demanded of good Y, and the quantity demanded of good X is likely to remain unchanged.

6-B:

In this MCQ, we need to find out total revenues and see the level of output where they are equal to total costs.

This can be seen in the solution below:-

Normal profits are achieved where Total Revenue = Total Cost

OR

When Average revenue = Average Fixed cost + Average Variable cost (in other words, ATC)

When shirts are produced, fixed costs are \$100 and the variable cost is \$5 per shirt.

If the price is \$10, which output would result in normal profit?

- A 10 shirts
- ☒ B 20 shirts
- C 25 shirts
- D 100 shirts

$$TR = AR(\text{price}) \times q \text{ or } Q$$

$$TC = FC + VC$$

	TR	TC
(A) 10 shirts $\Rightarrow (10 \times 10) = 100$	$(100 + (5 \times 10)) \Rightarrow 150$	
(B) 20 shirts $\Rightarrow (20 \times 10) = 200$	$(100 + (5 \times 20)) \Rightarrow 200$	$\Rightarrow TC = TR \Rightarrow \text{normal profits made}$
(C) 25 shirts $\Rightarrow (25 \times 10) = 250$	$(100 + (5 \times 25)) = 225$	
(D) 100 shirts $\Rightarrow (100 \times 10) = 1000$	$(100 + 500) = 600$	

7-B:

- A- In monopolistic competition not only are there low barriers to entry but also there are differentiated products, which is why, this becomes incorrect.
- B- This is correct because in a monopoly, there are high barriers to entry mainly cost barriers in form of economies of scale, and since, it comes under an imperfect market structure, there is product differentiation as well. This is why, this becomes correct.
- C- In case of an oligopoly, there are high barriers and also there is presence of product differentiation especially in case of non-collusive oligopoly.
- D- In case of perfect competition, there are no barriers to entry and exit and also there are homogeneous products which represents that there is no product differentiation.

8-D:

A, B, C: Option A, A firm preferring revenue maximization to cost-minimization is not related to "vertical backward integration" as it would be relevant for a firm who is preferring cost minimization to revenue maximization, this is because a merger with the provider of supplies, will ensure that the firm is able to access raw-materials at a cheaper rate, helping to minimize costs.

Option B, it now prefers sales maximization to profit satisficing, is not the answer.

If the firm preferred sales maximization, then it should have merged with the retailer, or in other words, involved itself in vertically-forward integration.

Option C, it now prefers security of sales to profit maximization.

If the firm preferred security of sales, then it should have merged with the retailer, or in other words, involved itself in vertically-forward integration.

Option D, it now prefers security of supplies to growth of market share is the answer.

Horizontal integration, that is when firms of the same industry at the same stage of production integrate, would have resulted in an increase in market share.

Now, the firm's attempt to involve itself in a vertically-backward merger means that it would be able to ensure the availability of components or raw materials at any time of need, leading to "security of supplies"

This is why, key D, is the answer.

12-C:

A – Notices do not constitute a direct government regulation. Nudge theory is about guiding behavior through subtle cues rather than imposing regulatory measures. You don't impose or restrict under nudge.

B - Merit goods are goods that generate positive externalities, and their consumption provides benefits to society beyond the individual consumer. The example in the notice is **not an example of "merit goods"**

C - -> Nudge theory is a concept from **behavioral economics** that suggests **influencing people's behavior and decisions without mandating or restricting their choices**. The example of the notice on the motorway near Cambridge is an illustration of **nudge theory**.

-> Nudge theory involves **providing information** and by **highlighting that clearing litter puts road-workers' lives at risk**, the notice aims to **increase individuals' awareness** of the **potential negative consequences of their actions** that will encourage them to **make choices that are in their best interest** or align with desired societal outcomes. In this case, the notice about litter being cleared is likely intended to **remind drivers not to litter, thus encouraging a change in behavior to keep the environment clean**.

This is why, key C, is correct.

D - **Public good** is a type of good that is **non-excludable and non-rivalrous**, meaning that it is available for all to use and one person's use does not diminish its availability for others. **The example of the notice does not fit the characteristics of a public good.**

13-B:

A - This option is correct because it represents a potential reason for government failure. Decisions based on outdated or inaccurate information can lead to ineffective policies that do not address current issues adequately.

B - One of the reasons for government intervention in the economy is to address market failures, including negative externalities. Governments can implement policies such as taxes (such that per unit tax= per unit external cost) or regulations to reduce negative externalities and improve overall welfare. This option becomes correct because it is not a possible reason for "market failure"

C): This option represents a possible reason for government failure. Difficulty in accurately assessing the extent of a market failure may occur, since it is difficult to attach monetary values to externalities, which do not go through the market, which can subsequently lead to policies that either overcompensate or undercompensate, resulting in inefficiencies.

D) This option is a possible reason for government failure. If circumstances change rapidly, government policies may not be able to adapt quickly enough, leading to inefficiencies or unintended consequences.

14-B:

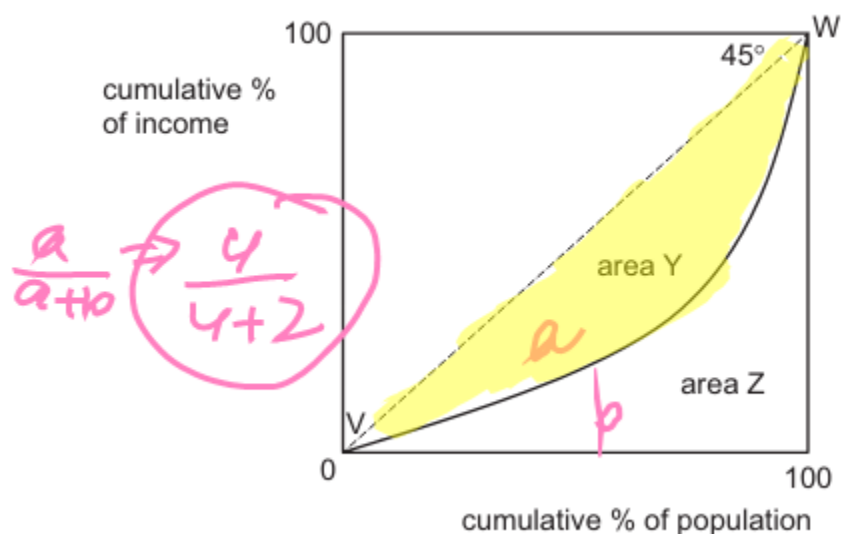
A - This policy combination would likely increase income inequalities. A fixed amount tax on all people would disproportionately burden lower-income individuals, as they would pay a larger share of their income in taxes. Reducing unemployment benefits would further exacerbate the issue, as those who are already struggling would receive less support.

B: This policy combination would likely reduce income inequalities. Increasing social welfare payments would provide more support to low-income individuals and families, helping to alleviate poverty and reduce the income gap. Imposing a higher marginal income tax rate on high-income earners represents progressive taxation which would also reduce income inequality, as they would contribute a larger share of their income towards taxes.

C- This policy combination would have mixed effects on income inequalities. Increasing transfer payments, such as subsidies or social assistance programs, would help support low-income individuals and families. However, imposing higher indirect taxation, such as sales taxes or value-added taxes that are regressive in nature would disproportionately burden lower-income households, who spend a larger share of their income on consumption.

D: This policy combination would likely increase income inequalities. Reducing tax rates on higher incomes would benefit high-income earners, allowing them to retain a larger share of their income. Increasing welfare payments would provide some support to low-income individuals, but it would not be enough to offset the increased income inequality resulting from the tax cuts for the wealthy.

15-A:



Gini coefficient is measured by dividing the area between the line of perfect equality and Lorenz curve that is Y, with the entire area under the line of perfect equality that is Y+Z

16-C:

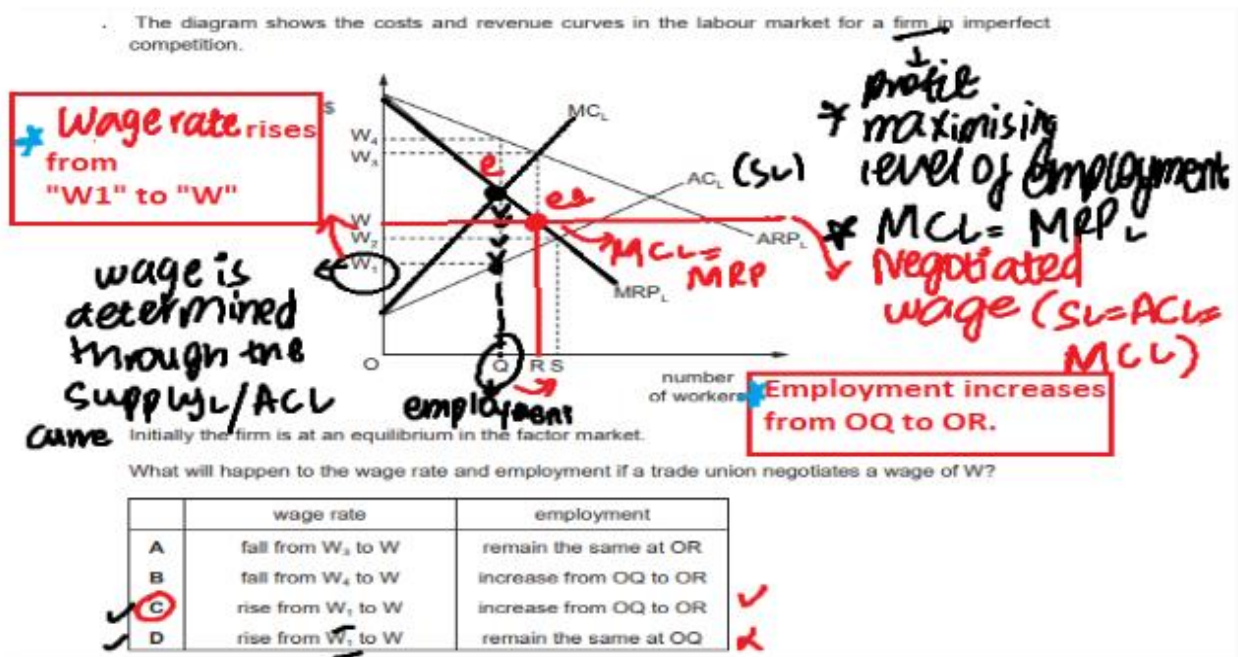
A – A fall in the demand for the industry's product will result in a fall in the demand for labor, which is the "derived demand"

B – A greater usage of machinery in the production process represents that capital-intensive techniques of production are adopted, and this implies that, the demand for labor falls, as labor is substituted with capital.

C - A rise in the wages paid in the similar occupations in other industries means that the supply of labor in this industry will reduce, thus making this correct.

D – A weakening of trade union's influence in the industry will have an influence on the wage, rather than supply of labor

17-C:



The diagram above explains why, key C, is correct.

18-B:

A country has a population of 100 million. 60 million are of working age and 50 million are in the labour force. The country's unemployment rate is 10%.

How many people are employed?

- A 40 million **B 45 million** C 50 million D 54 million

let x represent the number of employed people

$$\text{Unemployment}\% = 10\%$$

$$10\% \times 50 \Rightarrow 5 \text{ million} \Rightarrow \text{unemployed}$$

labor force

Unemployment%

Labor force =

$$\text{Employed} + \text{Unemployed} = 50$$

$$x + 5 = 50$$

$$x \Rightarrow 45$$

19-A:

	nominal GDP growth rate (%)	annual inflation rate (%)	real GDP growth rate (%)
W	2.1	1.9	0.2
X	-1.6	8.9	-10.5
Y	4.1	5.8	-1.7
Z	-2.0	16.4	-18.4

nominal growth rate - Rate of inflation $\Rightarrow$ Real GDP growth rate

A – It will be correct to say that country Y experienced the highest rate of real economic growth rate.

B – It can be seen that there is inflation in all the countries, which means that it will be incorrect to say that there is deflation.

C – Y is experiencing a fall in real gdp growth rate, which means that it cannot be said that it experienced the greatest rise in standard of living.

D – Based on this , we cannot deduce if Z experienced a greatest growth in public debt.

20-C:

- A- A decrease in administrative restrictions on imports from developing countries represents that developed countries can now easily import from developing countries. And when this results in an increase in export revenues of a developing country, it is most likely that they will experience growth.
- B- An increase in subsidies of capital goods exports to developing countries will make imports of capital goods cheaper for developing countries, which will then reduce import expenditures and when the BOT deficit reduces, there is an increase in Aggregate demand and a rise in economic growth.
- C- A reduction in quotas on imports from developing countries represents that now an even lesser quantity of goods can be imported from these countries. This will be most likely to reduce export revenues of a developing country which will also lead to a fall in economic growth. For this reason, this becomes correct.
- D- A reduction in tariffs on imports from developing countries represents that the prices of goods imported fall. This represents that developed countries can now easily import from developing countries. And when this results in an increase in export revenues of a developing country, it is most likely that they will experience growth.

21-A:

The correct answer is A: a gift by a parent to her daughter as a deposit on an apartment.

National Income accounts include all forms of income earned by residents of a country, including wages, salaries, interest, profits, and rents. However, transfer payments are not included, such as the example in option A, are not considered income and are therefore not included in National Income accounts.

The gift is a transfer payment, which is a payment made without receiving any goods or services in return. National income accounts only include transactions where there is a corresponding exchange of goods or services.

The other options are all forms of income that are included in National Income accounts:

- B: Earnings of a part-time worker in a school dining room (wages and salaries)

- C: Interest earned on savings accounts intended for retirement (interest income)
- D: Profits re-invested by a company to fund capital expenditure (retained earnings and profits)

22-A:

A) Income elasticity of demand measures how much the demand for a product changes when income changes. If the income elasticity of demand for the primary product increases, it means that as global income grows, the demand for the primary product will increase disproportionately, leading to higher exports and revenue for the developing country.

The other options would make it less likely for the country to benefit from international trade:

- B: An increase in tariffs imposed on the primary product by developed countries would reduce demand and revenue for the developing country.
- C: An increase in the cost of international freight transport in real terms would increase the cost of exporting the primary product, reducing the country's competitiveness and revenue.
- D: An increase in the price of manufactured products relative to the primary product would increase the import bills of the developing economy, since they usually specialize in producing primary products.

23-C:

A – A decrease in housing and transport costs will increase the geographical mobility of labor which will be most likely to reduce structural unemployment.

B – A decrease in unemployment benefits will lead to a reduction in the gap between unemployment benefits and the take home pay of the employed , as a result of which, voluntary unemployment may fall.

C –An increase in occupational immobility of labor means that workers are less able or willing to switch jobs or occupations, making it harder for them to adapt to changes in the labor market. This can lead to both higher unemployment and job vacancies, as:

1. **Unemployment increases:** Workers who are stuck in their current occupation may become unemployed if their skills are no longer in demand or if their industry is declining. They may struggle to find new employment in a different field, leading to higher unemployment.
2. **Job vacancies increase:** At the same time, employers may have job openings that they cannot fill because workers are not willing or able to switch to those occupations. This can lead to a shortage of skilled workers in certain fields, resulting in higher job vacancies.

D – An increase in the skills of the labor force is most likely to result in an increase in the demand for labor, which will increase employment.

24-D:

$$\begin{aligned} & \text{Multiplier} \times \text{increase in AE} \Rightarrow \text{Increase in ENI} \\ & \frac{1}{1 - mpc} \times [100 + 200] \\ & \frac{1}{1 - 0.5} \times [300] \Rightarrow \$600 \text{ bn} \end{aligned}$$

25-A:

- ➔ If interest rates fall, this will bring about a fall in savings, as a result of which spending may rise and that too by a relatively higher percentage when the **transactionary or consumption demand for money is elastic**, because of which, Aggregate demand will be most likely to increase, helping the economy to recover from deflation.
- ➔ Moreover, a rise in asset prices indicate an increase in wealth, which since will increase consumer confidence, will bring about an increase in consumption.

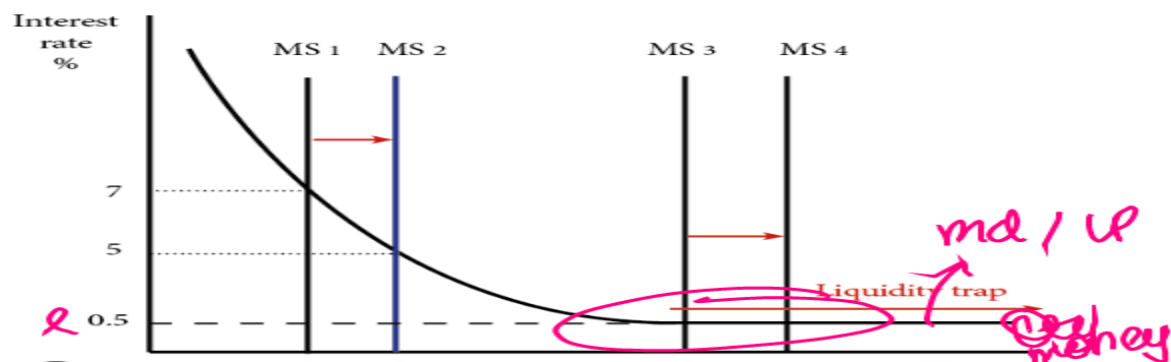
26-D:

A – At low interest rates, the price of bonds are too high, which means that people are less likely to purchase bonds especially when the price of bonds is expected to fall in future.

B – A liquidity trap situation does not represent that other assets are close substitutes for money.

C – In a situation of liquidity trap, no money will be used for transactionary purposes because individuals hoard all the liquid cash and so all the idle balances get lost in what is called the liquidity trap.

D – A liquidity trap is a situation whereby injections of cash into the private banking system by the central bank fails to translate into fluctuations in the interest rate. This is because, the money demand is perfectly elastic. And since already the interest rate is at its lowest, it would not fall any further. This is why, this is correct.



27-A;

A: A decrease in the level of bank loans represents that there has been a decrease in supply of loans, which will lead to an increase in the rate of interest. This will act as a contractionary monetary policy and after having dampened Aggregate demand, this will bring about a reduction in production and demand for labor because of which, there will be an increase in cyclical unemployment. This is why, this becomes correct.

B – A decrease in the level of taxation, for example: income taxation as part of expansionary fiscal policy will be likely to increase disposable income, because of which, there will be an increase in consumption and subsequently Aggregate demand will rise too. This will bring about a reduction in demand-deficient unemployment that arises because of Aggregate demand being too low.

C and D: An increase in money supply (D) will bring about a decrease in the rate of interest (C) because of which, when consumption increases as a result of a fall in savings, there will be an increase in Aggregate demand, which will bring about an increase in incomes, output and employment.

28-D:

A) Real GDP per capita: This is a widely used indicator to identify a developing country, as it shows the total output of a country divided by its population.

B) The Gini Coefficient: This is a measure of income inequality within a country, with 0 representing perfect equality and 1 representing perfect inequality. Developing countries tend to have higher Gini coefficients.

C) The Human Development Index: This measures a country's social and economic development based on factors like life expectancy, education, and income. Developing countries tend to have lower HDI scores.

D) The Phillips Curve: This shows the trade-off between unemployment and inflation in a country. It is not a direct indicator of a country's development status.

29-B:

A : A decrease in corporation tax represents expansionary fiscal policy which will have an effect of stimulating Aggregate demand and will bring actual economic growth.

B : An increase in income tax represents contractionary fiscal policy which will have an effect of dampening Aggregate demand and will bring about a fall in economic growth.

C : A decrease in the rate of interest represents expansionary monetary policy which will have an effect of stimulating Aggregate demand and will bring actual economic growth.

D : Spending on education and training , as part of an interventionist supply side tool, will boost the productive potential of the economy , resulting in potential economic growth.

30-A:

A reflationary fiscal policy represents an expansionary fiscal policy.

A – Increasing government spending is a part of expansionary fiscal policy.

B – Increasing taxes is a part of contractionary or deflationary fiscal policy

C and D: Increasing the money supply and reducing the rate of interest are a part of a reflationary or expansionary monetary policy.